

example, after liquidity dried up in the money markets in August 2007, O'Shea expected rates to be cut. Instead of expressing this trade idea only through long short-term interest rate instrument positions, O'Shea also implemented the trade as a yield curve spread: long short-term rate instruments/short long-term rate instruments. His reasoning was that the yield curve at the time was relatively flat, implying that a rate decline would most likely be concentrated on the short-term end of the yield curve. If, however, rates went up, the flat yield curve implied that long-term rates should go up at least as much as short-term rates and probably more. The yield curve spread provided most of the profit potential with only a fraction of the risk. In essence, it provided a much better return-to-risk ratio than a straight long position in short-term rates alone.

The Nasdaq peak provided another example of how O'Shea seeks the best return-to-risk strategy to implement a trade idea. After the break from the March 2000 peak, O'Shea felt fairly certain that the bubble had burst. Yet he did not consider short positions in Nasdaq, even though he believed the market had formed a major bubble top, because he recognized—correctly, as it turned out—that trading the short side was treacherous. Even though the market ultimately went sharply lower, in the summer of 2000, the index witnessed an approximate 40 percent rebound. A move of this magnitude would very likely have resulted in a short position being stopped out. O'Shea reasoned that a Nasdaq top implied that most assets would recede from inflated levels, which would lead to an economic slowdown and lower interest rates. A long bond position provided a much easier and more comfortable way to trade the same idea. Bonds subsequently witnessed a fairly smooth uptrend, in contrast to the highly erratic downtrend in Nasdaq.

Flexibility is an essential quality to successful trading. It is important not to get attached to an idea and to always be willing to get out of a trade if the price action is inconsistent with the trade hypothesis. O'Shea cites George Soros as a master of flexibility who has no attachment to his trades and shows the least regret about getting out of a position of anyone he has ever met. In April 2009, O'Shea was very pessimistic about the financial outlook, but the market behavior was telling him he was wrong. Since his bearish hypothesis was inconsistent with the market price action, he formulated an entirely different hypothesis that seemed to fit what was